

**BEFORE
THE FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFAIR USA LLC

VS.

STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.

**COMPLAINANT’S COMBINED MOTION FOR LEAVE TO AMEND COMPLAINT
AND TO AMEND THE SCHEDULING ORDER**

Pursuant to 46 CFR § 502.66(a) and 46 CFR § 502.69 of the Federal Maritime Commission’s Rules of Practice and Procedure, Complainant SEAFAIR USA LLC (“SeaFair” or “Complainant”), by and through its undersigned counsel, hereby submits this Motion requesting leave to file the attached Amended Complaint. Through this Motion and pursuant to 46 CFR § 502.141(l) and 46 CFR § 502.71, Complainant also moves to amend the Scheduling Order dated January 18, 2023 (“Scheduling Order”) [Dkt. 7], as amended by the April 26, 2023 Order (“First Amended Scheduling Order”) [Dkt. 14], by the June 2, 2023 Order (“Second Amended Scheduling Order”) [Dkt. 16], and by the June 26, 2023 Order (“Third Amended Scheduling Order”) [Dkt. 20].

I. MOTION FOR LEAVE TO AMEND

A. BACKGROUND

SeaFair filed its Verified Initial Complaint against Respondents Sterling Container Line Limited (“Sterling”) and Atlantic Forwarding Ltd. (“Atlantic”) (collectively the “Respondents”)

on December 15, 2022 [Dkt. 1]. The Initial Complaint alleged various violations of the Shipping Act, including violations of 46 U.S.C. § 41102(a) – obtaining or attempting to obtain ocean transportation for property at less than the charges that would otherwise apply –; 46 U.S.C. § 41104(a)(4)(A) – engaging in unfair practices in the matter of charges while providing services pursuant to a tariff as a common carrier –; 46 U.S.C. § 41104(a)(2)(A) – providing service in the liner trade as a common carrier that is not in accordance with its published tariff –; and 46 U.S.C. § 41102(c) – failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

On December 26, 2022, Respondents filed their Verified Answer and Defenses to the Initial Complaint [Dkt. 2].

The parties have exchanged numerous discovery requests. The discovery phase better elucidated the facts concerning the case, but several of Complainant’s discovery requests remain unanswered. On June 12, 2023, Complainant filed a Motion to Compel [Dkt. 17] and a Motion to Amend the Scheduling Order that would extend the deadline for the close of all discovery to June 22, 2023, and extend the deadlines for filing of Complainant’s brief, Respondents’ opposition brief, and Complainant’s reply brief by ten (10) days each [Dkt. 18]. The June 19, 2023 deadline for Respondents to file a response to these motions passed and no such responses were filed. These motions are currently pending before this Commission.

Complainant now seeks leave to amend its Initial Complaint to more accurately reflect the details concerning payment (or lack thereof) from consignees/third parties to Complainant and from Complainant to the steamship line.

B. LEGAL STANDARD

In accordance with 46 C.F.R. § 502.66, the Commission or presiding officer has discretion to permit or reject amendments to any pleading, including complaints. Any proposed amendment may not broaden the issues without offering the opposing party the opportunity to reply to the amended pleading and to prepare for the broadened issues. Id.

The Commission's Rules do not provide predetermined criteria for assessing whether to grant or deny a motion to amend a complaint. 46 C.F.R. § 502.12 provides that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." The Federal Rules of Civil Procedure, more specifically, Fed. R. Civ. P. 15(a)(2) provides that, beyond the one-time allowance for a party to amend its pleading as a matter of course within 21 days of service of a responsive pleading outlined in Fed. R. Civ. P. 15(a)(1)(B), amendments to a pleading are also permitted either with opposing parties' written consent or leave of court. Leave should be freely given when justice so requires. Fed. R. Civ. P. 15(a)(2). "Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments." Bancoult v. McNamara, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted).

C. PROPOSED AMENDMENTS TO INITIAL COMPLAINT

The amendments Complainant seeks to make to its Initial Complaint following discovery will not broaden the issues. Complainant's proposed amendments merely seek to clarify and better describe the facts surrounding payment of the destination charges already at issue in this action.

Complainant's proposed Amended Complaint is attached hereto as Exhibit A.

Nonetheless, for the sake of transparency, the proposed amendments are also listed below:

Initial Complaint	Proposed Amendment
5. Beginning in May 2021, Respondents engaged SeaFair to handle document turnover in the United States for shipments carried under Sterling’s house bills of lading (“HBLs”).	5. Beginning in May 2021, Respondents engaged SeaFair <i>to act as their destination agent and</i> to handle document turnover in the United States for shipments carried under Sterling’s house bills of lading (“HBLs”).
8. Pursuant to the agreement between Respondents and SeaFair, SeaFair collected and/or paid the destination charges related to steamship lines, associated terminals, and other logistics companies on behalf of Sterling and its shipping agent, Atlantic.	8. Pursuant to the agreement between Respondents and SeaFair, SeaFair collected and/or <i>attempted to collect payment for the</i> charges related to steamship lines, associated terminals, and other logistics companies on behalf of Sterling and its shipping agent, Atlantic, <i>plus the bank fees SeaFair incurred in remitting the collected charges to the steamship lines, terminals and/or logistics companies (which are termed “Carrier Processing Charge/Fee” or “CPC”). Therefore, the destination charges include both the fees owed by Sterling/Atlantic and/or their customers to the steamship lines, associated terminals, and/or other logistics companies and the CPC owed to SeaFair.</i>
9. SeaFair is entitled to reimbursement for payment of these charges pursuant to its Terms and Conditions of Service.	9. <i>Respondents are obligated to make payment to SeaFair and/or the steamship lines, terminals, and/or logistics companies directly</i> for these charges pursuant to <i>SeaFair’s</i> Terms and Conditions of Service.
15. While SeaFair and Respondents discussed the First Claim, SeaFair paid an additional \$321,533.52 out of pocket in destination charges on behalf of Respondents and invoiced Atlantic an additional \$5,500.00 in document turnover fees.	15. While SeaFair and Respondents discussed the First Claim, <i>other invoices for</i> an additional \$321,533.52 in destination charges and \$5,500.00 in document turnover fees <i>remained unpaid.</i>
-	19. The most up to date statement of account issued by the steamship line, Mediterranean Shipping Company (“MSC”), to SeaFair shows \$294,283.88 outstanding for the destination charges addressed in SeaFair’s

	Second Claim. ¹ An additional \$18,090.00 in CPC owed to SeaFair related to the Second Claim remains outstanding.
-	20. MSC owns or partially owns and/or controls Atlantic.
19. By knowingly and willfully withholding payment to their destination agent, SeaFair, for monies advanced by SeaFair on behalf of Respondents, Respondents have obtained or attempted to obtain ocean transportation for property at less than the charges that would otherwise apply.	21. By knowingly and willfully withholding payment to their destination agent, SeaFair, <i>for charges owed by their customers and/or by Respondents themselves</i> , Respondents have obtained or attempted to obtain ocean transportation for property at less than the charges that would otherwise apply.
21. Upon information and belief, the shipments for which SeaFair performed document turnover service were carried out pursuant to a tariff. Respondent Sterling is a common carrier, therefore Sterling and its agent Atlantic are prohibited from engaging in unfair practices in the matter of charges.	23. Upon information and belief, the shipments for which SeaFair <i>acted as Respondents' destination agent and</i> performed document turnover service were carried out pursuant to a tariff. Respondent Sterling is a common carrier, therefore Sterling and its agent Atlantic are prohibited from engaging in unfair practices in the matter of charges.
22. Therefore, Respondents have violated 46 U.S.C. §41104(a)(4)(A) by knowingly and willfully withholding payment to their destination agent, SeaFair, for monies advanced by SeaFair on behalf of Respondents.	24. Therefore, Respondents have violated 46 U.S.C. §41104(a)(4)(A) by knowingly and willfully withholding payment to their destination agent, SeaFair, <i>for charges owed by their customers and/or by Respondents themselves</i> .
23. Based on information and belief, Respondents' knowingly and willfully withholding payment to their destination agent, SeaFair, for monies advanced by SeaFair on behalf of Respondents, is a result that Respondents have failed to bill these charges to their shippers.	25. <i>Respondents have failed to bill these charges to their customers.</i> Respondents knowingly and willfully <i>withheld</i> payment to their destination agent, SeaFair, <i>for charges owed by their customers and/or by Respondents themselves</i> .
25. Respondents' actions in willfully,	27. Respondents' actions in willfully,

¹ This value represents the total for the destination charges addressed in SeaFair's Second Claim as of MSC's statement of account issued on May 17, 2023. SeaFair reserves the right to amend this Complaint to correspond to the value listed on any future MSC statements of account should MSC adjust the values shown on the May 17, 2023 statement of account for interest or to make corrections.

intentionally, and knowingly withholding reimbursement for destination charges and payment for document turnover fees rightfully owed to SeaFair, its destination agent, constitute unreasonable practices related to the delivery of property.	intentionally, and knowingly withholding <i>payment</i> for destination charges and document turnover fees rightfully owed to SeaFair, its destination agent, constitute unreasonable practices related to the delivery of property.
28. The damages that SeaFair will sustain unless it is able to obtain payment immediately include economic damages that extend beyond SeaFair to include its inability to pay destination charges for other clients, which will result in the loss and/or depreciation of goods for shipments for which SeaFair serves as destination agent.	30. The damages that SeaFair will sustain unless <i>Respondents pay the destination charges directly to the steamship lines or unless SeaFair</i> is able to obtain payment <i>from Respondents so it can pay the outstanding invoices from the steamship lines</i> immediately include: (1) collection suit by the steamship lines; (2) inability to conduct business with the steamship lines; and (3) steamship lines' refusing to release shipments for which SeaFair serves as <i>the origin or destination agent, which could</i> result in the loss and/or depreciation of goods for <i>other</i> shipments for which SeaFair serves as <i>origin or destination agent</i> .
32. SeaFair prays that Sterling and Atlantic be required to answer the charges herein; that, after due hearing, an order be entered commanding Sterling and Atlantic to cease and desist from their unjust and unreasonable practices in violation of 46 U.S.C. §41102(c), 46 U.S.C. §41104(a)(4)(A), 46 U.S.C. §41104(a)(2)(A) and 46 C.F.R. §545.4; and that Sterling and/or Atlantic be ordered to pay to SeaFair reparations for the unlawful conduct described above in the sum of \$335,953.52, with interest and attorney's fees incurred in correcting the invoices subject to the first claim (Exhibit 1) and second claim (Exhibit 3), as provided for under 46 U.S.C. § 41305(b), and such other reparations that the Commission deems just and proper.	34. SeaFair prays that Sterling and Atlantic be required to answer the charges herein; that, after due hearing, an order be entered commanding Sterling and Atlantic to cease and desist from their unjust and unreasonable practices in violation of 46 U.S.C. §41102(c), 46 U.S.C. §41104(a)(4)(A), 46 U.S.C. §41104(a)(2)(A) and 46 C.F.R. §545.4; and that Sterling and/or Atlantic be ordered to pay to SeaFair reparations for the unlawful conduct described above in the sum of \$326,793.88, with interest and attorney's fees incurred in collecting the invoices subject to the first claim (Exhibit 1) and second claim (Exhibit 3), as provided for under 46 U.S.C. § 41305(b), and such other reparations that the Commission deems just and proper.
-	Footnote 1. <i>This value represents the total for the destination charges addressed in SeaFair's Second Claim as of MSC's statement of account issued on May 17, 2023.</i>

	<i>SeaFair reserves the right to amend this Complaint to correspond to the value listed on any future MSC statements of account should MSC adjust the values shown on the May 17, 2023 statement of account for interest or to make corrections.</i>
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The proposed amendments do not broaden the issues of this action. To the contrary, they seek to better define the relationship between the Parties and the facts of the case. Fed. R. Civ. P. 15(a)(2) provides that leave to amend should be freely given “when justice so requires.” This is clearly such an instance. The proposed amendments seek to more accurately describe the relationships and facts already alleged, which will ultimately result in a more just decision by this Commission.

II. MOTION TO AMEND SCHEDULING ORDER

A. BACKGROUND

The Scheduling Order called for the Parties to serve all discovery requests by April 25, 2023 [Dkt. 7]. Respondents served their joint initial discovery requests on February 17, 2023. Complainant served its responses on April 04, 2023, after requesting an extension on March 03, 2023[Dkt. 11], that was granted by the honorable Administrative Law Judge [Dkt. 12], and a brief 12-hour extension on April 03, 2023, that was granted by Respondents’ counsel. Complainant served its initial discovery requests on Respondents on March 10, 2023. However, due to staff changes within Respondents’ entities and the breadth of requests propounded by Complainant, Respondents requested a 21 day extension to respond to Complainant’s discovery requests. Complainant agreed to a 14 day extension. Respondents served their responses to the Requests for Admission and Interrogatories on April 24, 2023.

Counsel for the Parties consulted in good faith and mutually agreed to file a Joint Motion

to Amend the Scheduling Order to extend the deadline to serve discovery requests to May 01, 2023 [Dkt. 13]. The only other deadline on the Scheduling Order altered by the requested extension was the deadline to complete discovery, which was modified to June 01, 2023. On April 26, 2023, the Chief Administrative Law Judge issued the Amended Scheduling Order granting the Parties' request for extension [Dkt. 14].

The Parties diligently attempted to resolve discovery disputes without involving the Commission and filed a Joint Motion to Amend the Scheduling Order on June 1, 2023 which allowed for: a one (1) day extension until June 02, 2023, for SeaFair to fully respond to outstanding discovery requests from Respondents; a seven (7) day extension until June 08, 2023, for the Parties to attempt to amicably resolve disputes relating to unanswered or incompletely responded discovery requests; and a ten (10) day extension until June 11, 2023 for the completion of all discovery, including the filing of discovery-related motions.

June 11, 2023 fell on a Sunday, therefore the deadline for the completion of all discovery, including the filing of discovery-related motions, was pushed until today, June 12, 2023. On June 12, 2023, the Parties attended a mediation conference. No agreement was reached. The Parties tentatively agreed to attend a second mediation conference and Complainant filed a Motion to Amend Scheduling Order on June 12, 2023. [Dkt. 18]. Complainant's Motion was granted on June 26, 2023.

Now, Complainant seeks the Commission's permission for leave to amend its initial complaint. Consequently, Complainant also seeks to extend the scheduling order as necessitated by the motion for leave to amend.

B. GOOD CAUSE

Complainant brings this motion for good cause. Its Motion for Leave to Amend its Initial

Complaint should be granted by this Commission. However, certain procedural filing deadlines must also be observed. Respondents will be offered time to both respond to the Motion itself and then to answer the First Amended Complaint. The current deadline for Complainant to file its brief, findings of fact, and appendix pursuant to the Second Amended Scheduling Order is scheduled to occur before time for Respondents to answer the Amended Complaint would run out. Considering that Complainant's Motion for Leave to Amend its Initial Complaint should be granted, good (and necessary) cause exists to amend the Third Amended Scheduling Order.. The granting of the motion to amend the Scheduling Order to allow the requested extensions will make a more efficient and just resolution to this action possible.

C. PROPOSED CHANGE TO SCHEDULING ORDER

Complainant proposes the following alterations to the Second Amended Scheduling Order to allow for responses to this Motion and to the Amended Complaint itself:

Event	Current Deadline	Proposed New Deadline
Complainant's response to Amended Complaint	-	14 days from the date that the FMC accepts the Amended Complaint
Complainant's brief, proposed findings of fact, and appendix.	July 07, 2023	30 days from the filing of Respondents' Answer
Respondents' opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix.	August 07, 2023	30 days from the filing of Complaint's Brief
Complainant's reply brief and responses to proposed findings of fact.	August 21, 2023	15 days from the filing of Respondents' Brief

The adjustments to the current Scheduling Order will not significantly delay the

proceeding and are necessary for the administration of justice and observance of procedural deadlines. Complainant believes good cause exists for granting the instant motion to amend the Scheduling Order and respectfully requests that the presiding officer extend the deadlines cited herein, as shown in the table above.

III. CONCLUSION

For all the foregoing reasons, Complainant requests this Commission grant this combined Motion and allow Complainant to amend its Initial Complaint and amend the Scheduling Order accordingly.

IV. CONFERENCE

Pursuant to 46 C.F.R. § 502.71(a), Complainant has attempted to discuss this motion in a good faith effort to determine whether Respondents oppose the proposed amendments and extension. Respondents have not indicated whether they consent to or oppose the instant Motion.

Date: June 27, 2023

Respectfully Submitted,
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 27th day of June 2023, the foregoing Combined Motion for Leave to Amend Complaint and to Amend the Scheduling Order was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
The Honorable Erin M. Wirth
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Presiding Administrative Law Judge
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